DIRECTIVE

FINANCIAL SERVICES BOARD

REPUBLIC OF SOUTH AFRICA

LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Long-term & short-term insurers		**File:**	10/17/1 & 10/26/1/B	
Edition	**Issue date**	**Effective date**	**Directive**	**Status**	**Withdrawal date**
1st	30 January 2004	01 February 2004	138.A.i (LT&ST)	In force	-
2nd	-	-	-	-	-
3rd	-	-	-	-	-
Subject:	Public Officer / Management of compliance risk				

1. **Purpose**

The purpose of this directive is twofold. Firstly to emphasize the appointment and functions of the public officer. Secondly to highlight the recommendations in the King Report on Corporate Governance for South Africa 2002 ("King II") for management of compliance risk.

2. **Background**

This directive emphasizes that the public officer is a statutory appointment in terms of the Long-term and Short-term Insurance Acts with statutory duties and other functions. This directive does not require or expect the public officer to assume the duties of compliance officer for legislation other than insurance legislation.

The Registrar may not grant an application for registration as a long-term or short-term insurer if the applicant is not, or will not be, able to comply with the Long-term or Short-term Insurance Act. One important pillar of compliance is that insurers must at all times maintain a financially sound condition by having assets, providing for their liabilities and generally conducting their business so as to be in a position to meet their liabilities. Insurers, therefore, must realise the importance of complying with insurance and other relevant legislation as non-compliance, for example, may endanger their ability to maintain a financially sound condition.

The Long-term and Short-term Insurance Acts do not prescribe to insurers how to manage their compliance risk. This is left to insurers to decide based on the recommendations of King II.

3. Public officer: Overview of insurance legislation

3.1 The Long-term and Short-term Insurance Acts provide the following with regard to the public officer:

(a) Section 16(1) of the Long-term and Short-term Insurance Acts, respectively, requires each registered long-term and short-term insurer -

- to appoint a natural person who is permanently resident in the Republic as its public officer;
- to notify the Registrar of the name of that public officer on the form required by the Registrar; and
- if the name of that public officer changes, to notify the Registrar within 30 days after such change on the form required by the Registrar.

The Registrar requires each public officer to complete a personal questionnaire and declaration.

(b) Section 16(2) of the Long-term and Short-term Insurance Acts, respectively, requires the public officer, as far as it is in his or her power, to ensure that the insurer complies with the act.

(c) Section 16(3) of the Long-term and Short-term Insurance Acts, respectively, provides that process in any legal proceedings against an insurer may be served at the head office of that insurer or, if no such head office is in existence, by service upon the public officer.

(d) Section 22 of the Long-term Insurance Act and section 21 of the Short-term Insurance Act provide that the Registrar may by notice require an insurer to terminate the appointment of a public officer if the person is not fit and proper to hold the office.

(e) Section 40(2) of the Long-term Insurance Act and section 39(2) of the Short-term Insurance Act provide that notice of the passing of a special resolution (if any) by the members of an insurer confirming a transaction referred to in section 37(1) of the Long-term Insurance Act or section 36(1) of the Short-term Insurance Act, together with a copy of the resolution and of the terms and conditions of the transaction, certified by the chairperson of the meeting at which the resolution was passed and by the public officer of the insurer to be a true and correct copy shall be furnished to the Registrar by the insurer concerned.

(f) The public officer is required to sign and submit -

(i) documents prescribed by the Registrar, such as the statutory returns.
(ii) forms that an insurer must use to apply for approvals, or notify the Registrar of certain matters, under the Long-term and Short-term insurance Acts.

(g) In terms of the policyholder protection rules under the Long-term and Short-term insurance Acts, respectively, the name and contact details of the public officer or compliance department or officer must be furnished to the policyholder as soon as is practical but before the acceptance stage.

(h) In addition to the legislative provisions, the public officer -

(i) participates in and/or facilitates communication (oral, written and electronic) between the Registrar and the insurer.
(ii) co-ordinates visits and requests for information by the Registrar.
(iii) participates in meetings between the Registrar and the insurer.
(iv) receives directives and other documents from the Registrar.

3.2 **Requirements for appointment**

The following guidelines are issued regarding the qualification, experience and attributes of a public officer.

(a) Insurers must ensure that the individual who is appointed as public officer -

(i) is appropriately qualified to enable a full understanding of the responsibilities of the office of public officer.
(ii) has sufficient relevant experience to enable effective discharging of the responsibilities of the office of public officer.
(iii) has an appropriate level of knowledge of insurance legislation to ensure that the insurer continuously complies with that legislation.
(iv) if that individual is on the payroll of the insurer, is preferably a member of the managing executive of the company or, alternatively, has direct access to the managing executive.
(v) if that individual is not on the payroll of the insurer, will be able to discharge the duties in the insurance legislation in an effective and efficient manner.
(vi) has unfettered and direct access to and demonstrable support from the directors and executive management of the insurer.
(vii) is suitable (fit and proper) for the position.

(b) Insurers, furthermore, -

(i) should be cognisant of the duties imposed upon the public officer and empower the individual accordingly to enable that person to properly fulfil those duties. These include that the public officer should appropriately and effectively deal with directives, circulars, letters, requests and other information from the Registrar.

(ii) should ensure continuity during a change in, or temporary absence of, public officer.

4. **Management of compliance risk**

King II puts the total process of risk management, which includes a related system of internal controls, as a responsibility of the board of directors. A documented assessment of the processes and outcomes surrounding key risks should be undertaken at least annually for purposes of making the board's public statement on risk management. This assessment should address the company's exposure, among others, to compliance risks. A board committee, either a dedicated committee or one with other responsibilities, should be appointed to assist the board in reviewing the risk management process and the significant risks facing the company. The board is responsible for disclosures in relation to risk management in the annual report.

One of the mechanisms for managing risk is internal control. This is a process designed to provide reasonable independent assurance regarding the achievement of organisational objectives, among others, with respect to compliance with applicable laws, regulations and supervisory requirements.

King II mentions that management may appoint a chief risk officer or risk facilitator to assist in the execution of the risk management process, however, the accountability to the board remains with management and should be the responsibility of every employee. A compliance officer or function, if it exists within a company, will provide assurance in relation to compliance with applicable laws, regulations and supervisory requirements and, without detracting from the independence thereof, should interact regularly with other role-players in the risk management process.

King II recommends that the audit committee (appointed by insurers in terms of sections 23 and 22 of the Long-term and Short-term Insurance Acts, respectively) should review the company's compliance, among others, with legal and regulatory provisions, its articles of association, code of conduct, by-laws and the rules established by the board.

5. **Conclusion**

The public officer plays an important part in the insurance supervisory process. Insurers, therefore, are requested to follow the guidelines in this directive and to adhere to the provisions in the insurance legislation regarding the public officer.

Insurers are urged to follow King II regarding management of their compliance risk.

6. **Information sharing**

This directive is available on the website (www.fsb.co.za) of the Financial Services Board. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.

***pp* REGISTRARS OF LONG-TERM AND SHORT-TERM INSURANCE**